

Though he said he was no longer active in that part of the business and couldn't guarantee he could get me onto the trading floor, he offered to get me at least as close as the New York Stock Exchange dining room for lunch.

Even for that, we had to pass through a security checkpoint downstairs, and I had to seek visitor's clearance to enter an elevator. We got off at some upper level, and Mr. Hayes led me out into a dark, aristocratic room that oozed walnut varnish and smelled of leather armchairs. It reminded me of the Yale Club, or the New York Yacht Club, or the lobby of "21." Old men in blue blazers had taken up positions in this quiet, snobbish preserve, which seemed far removed from the shrieking, arm-waving yahoos I'd seen in the big ballroom. Going from there to here was like reaching the U.S. ambassador's residence after escaping a riot on the streets of some chronically unstable country.

Mr. Hayes and I walked to the edge of the dining room, where a *maitre d'* escorted us to our table. To a man, the waiters looked and acted as if they'd come straight out of old Pullman dining cars. Around the walls were the stuffed heads of many former wild animals plus the bodies of several big fish. It occurred to me that they ought to replace these with busts or wax replicas of certain investors, especially the unfortunate ones who've been bagged enough times to have paid for this walnut paneling, these leather armchairs, and all the hunting trips to Africa.

My new friend told me as much as he could about specialists. It turns out they had exclusive franchises from the New York Stock Exchange. Mr. Hayes called it the "ultimate inventory biz." He said a specialist must "make the market" by having enough stock to sell to every willing buyer, and by buying back all the stock from every willing seller. In pocketing an eighth of a point or so in each direction, a specialist could make a very nice living.

For decades, these were mom-and-pop businesses, with a few families controlling the franchises. Sons took over from fathers, just as they did in the neighborhood grocery stores, pharmacies, or newsstands. Lately, said Mr. Hayes, the old specialist families had been selling out to bigger firms. Most of the business was now handled by well-capitalized trading houses like Spear Leeds or Wagner Stott, who were likely to operate at several specialist posts